

OPTIONS

Options are, as by their name, an option or right to buy or sell an underlying asset at an agreed price in a specific period of time. This basically means that, a buyer can enter into a contract and exercise only if they are making profits from the same and let it go un-exercised if they are not making profits. Options are basically a contract where the buyer is not obligated to exercise the contracts.



Explainer Video



☒ RIGHT

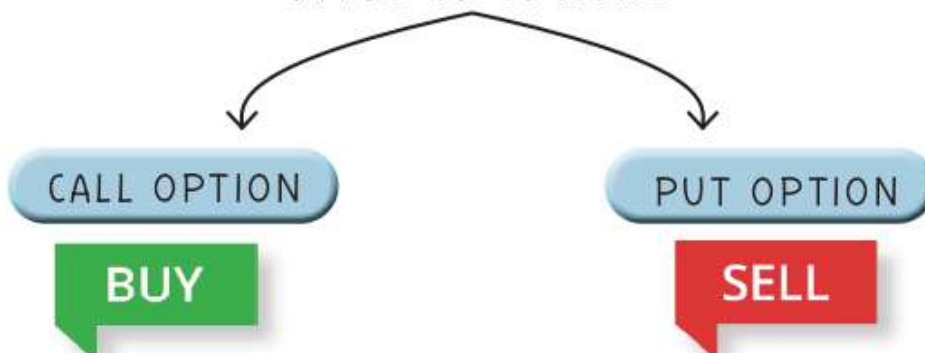
☐ OBLIGATION



OPTION HOLDER HAS A RIGHT/ OPTION BUT NOT AN OBLIGATION TO BUY THE ASSET AT PREDETERMINED PRICE.

We will learn about how exactly options work in great detail in the chapter introducing Options. You do not need to understand the complete working right away. We will learn more going ahead.

TYPES OF OPTIONS



In the Call Option, the buyer has the option/right - but not the obligation, to purchase the underlying asset at a fixed price. Here, the buyer profits when the price of the underlying asset goes up.

In the Put Option, the buyer has the option/right - but not the obligation, to sell the underlying asset at a fixed price. Here, the buyer of the Put option profits when the price of underlying asset goes down. We will understand this in great detail going ahead.